Reserve Bank of New Zealand
Te Pūtea Matua

Purchasing power and the *real* cost of living in New Zealand

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By Paul Conway, Chief Economist, Director of Economics, Member of the Monetary Policy Committee *

* With thanks to Ben Harris who worked with me on this speech.

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Introduction

Kia ora koutou.

I want to acknowledge up front that it has been a rollercoaster few years for New Zealanders. Our economy was severely disrupted by the COVID-19 pandemic, with the economic shockwaves only now fully receding. Conflict in the Middle East has added yet another layer of disruption – pushing up global energy and shipping costs – with potential macroeconomic impacts here at home. This has been a period of economic upheaval and uncertainty for Kiwis.

Perhaps one of the most obvious economic disruptions for many over the past few years has been high inflation. During the pandemic, demand roared back while supply chains stayed broken. As the pandemic progressed, people were ready to spend, jobs were plentiful, and house prices soared. But goods were scarce and shipping costs spiked. That imbalance started the sharpest inflation surge seen in decades.

Inflation peaked above 7 percent in mid-2022, bringing the 'cost-of-living crisis' into sharp focus. With the Monetary Policy Committee (MPC) lifting interest rates to rein in excess demand in the economy, inflation fell to 2.2 percent in 2024. It edged up to 3.1 percent late last year, slightly above the MPC's 1 to 3 percent target range. In our February *Monetary Policy Statement*, we expected inflation to return to the target midpoint over the coming year. However, we will be revisiting that projection in our April *Monetary Policy Review* in light of conflict in the Middle East.

Even with inflation significantly below where it was in the pandemic, people are asking 'why does everything feel so expensive?' In this speech, I'll explain why prices remain high and how the cost of living in New Zealand has changed over the pandemic and compares internationally. I'll also outline the role and limits of monetary policy in addressing the 'cost-of-living crisis' and touch on what else could be done to improve the purchasing power of our incomes.

Key messages I would like to get across include:

- The cost of living isn't just about inflation or how high prices are. It's ultimately about the purchasing power of incomes – what people can buy with their incomes after accounting for prices.
- New Zealand is an expensive country, with prices for many products well above the OECD average. Some products – including construction services, household utilities, and some food items – are among the most expensive in the OECD.
- Since the start of the pandemic, prices overall have risen by 26%, with prices for some household essentials increasing by much more. Over the same period, income per person – including from wages, profits, and investment returns – has increased by slightly more than inflation, suggesting little change in purchasing power.
- Wages, which matter most for household purchasing power, have increased by 32% since the start of the pandemic, leaving *real* wages roughly 6% above pre-COVID-19 levels. Workers who switched jobs tended to receive larger wage increases.

- Before 2020, the purchasing power of wages in New Zealand grew faster than the OECD average, supported by strong employment growth and favourable terms of trade. Today, while wage purchasing power is around average across all 38 OECD members countries, it is about 20% below the average of the more advanced OECD economies that we typically compare ourselves to.
- Low and stable inflation matters for the cost of living. But it is not the whole story. Monetary policy can anchor prices, but it cannot make New Zealand more affordable on its own. Sustained gains in purchasing power require higher productivity driven by structural reforms. Indicators suggest that the quality of structural policies in parts of New Zealand's framework now lag behind OECD best practice.

The cost of living in New Zealand

Let's start with some definitions. Inflation measures how fast prices change. So, annual inflation of 2% means prices, on average, are 2% higher over a year. The price level is where prices sit at a point in time. Even if inflation slows, the price level stays elevated. It just increases less quickly.

The cost of living is all about *purchasing power* – what we can buy with our incomes. For example, if prices increase by 2% while incomes rise by 4%, then real incomes – purchasing power – improves by 2%. If incomes grow faster than prices, then purchasing power improves; if inflation outpaces income growth, then purchasing power declines.

Inflation and the price level

Over the pandemic

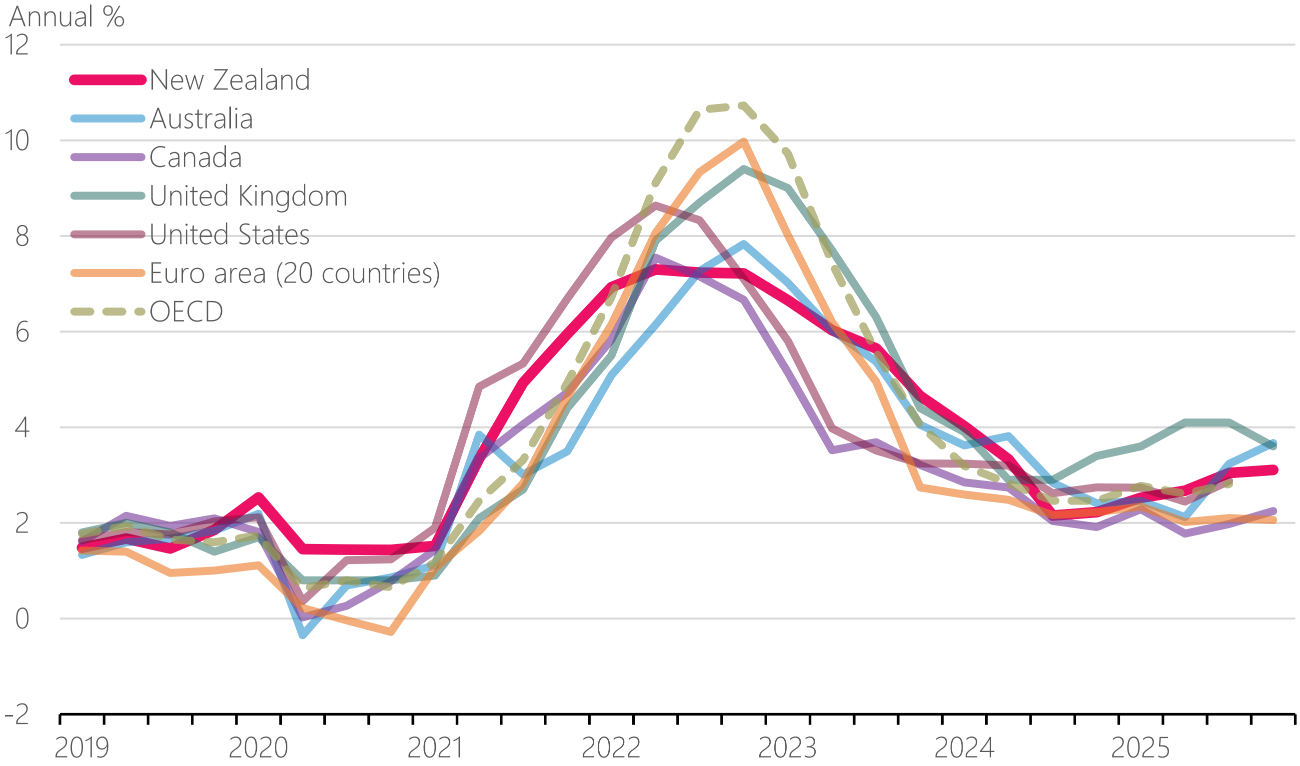
Inflation over the pandemic in New Zealand peaked below the OECD average but was more persistent than in some other countries (Figure 1).

Inflation at the end of 2025 – at 3.1 percent – was slightly above the MPC's 1 to 3 percent target band. It was expected to fall to around the 2% midpoint over the next 12 months but is now likely to persist at more elevated levels because of the conflict in the Middle East. The MPC will be assessing the impacts for monetary policy at our April *Monetary Policy Review* two weeks from today.

The inflation surge means prices are now much higher than they were before the pandemic (Figure 2). Compared to the beginning of 2020, overall prices are up 26%, meaning one New Zealand dollar now buys 26% fewer goods and services than it did five years ago. Inflation erodes the value of money.

As well as high generalised inflation, prices for one or more everyday household essentials have been increasing strongly at almost every point over the past five years (Figure 2). This includes prices for council rates, construction services, some foods (including meat and butter), and insurance. Because households cannot easily avoid some of these costs, this has no doubt added to the sense of a 'cost-of-living crisis'.

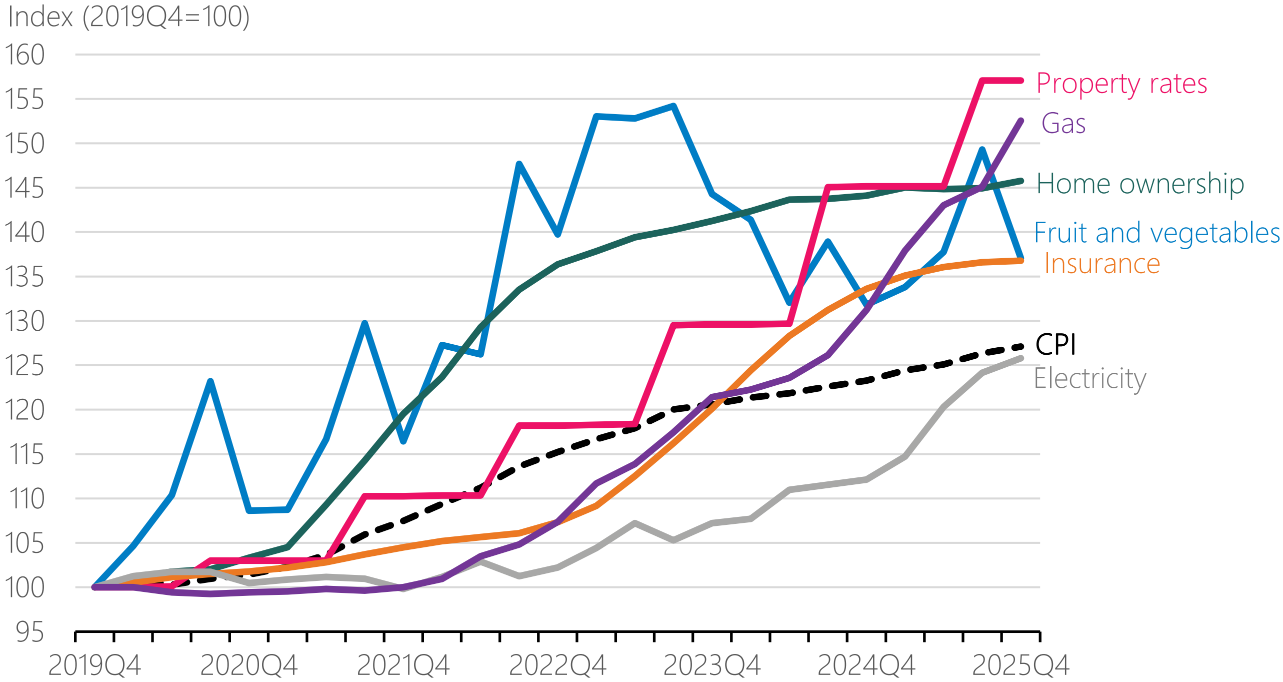
Figure 1 – CPI inflation in selected OECD economies



Note: Countries included in the OECD average include 37 of the current OECD countries, with Türkiye excluded due to its significantly higher inflation. OECD member countries can be found here.

Source: OECD.

Figure 2 – Change in price level of selected New Zealand CPI categories



Note: This figure shows the change in price level of selected CPI categories relative to the December 2019 quarter. Home ownership includes property rates, house insurance, construction of new dwellings, and maintenance and repairs of housing.

Source: Stats NZ.

Compared to other countries

How do prices here compare with prices in other countries? Let's start with a Big Mac. Because Big Macs are the same everywhere, its price offers a like-for-like cross-country comparison. On this measure, a Big Mac in New Zealand is about the 13th most expensive across Big Macs in 20 OECD economies.[1]

Our spending should hopefully extend well beyond Big Macs. So, let's look at prices for a broader collection of goods and services across countries.

According to OECD and World Bank data, overall prices in New Zealand are 12% and 22% above average and the 8th and 11th highest across 38 OECD countries respectively.[2] This indicates that New Zealand is a relatively expensive country – a remark often heard from tourists and consistent with local concerns about the cost of living.

Using the World Bank data, we can compare prices across countries for different types of goods and services (Figures 3a and 3b). There are 41 different product categories in this dataset and prices in New Zealand are above the OECD average in 31 of those categories.

For goods, tobacco products here are among the most expensive in the OECD, no doubt partly reflecting high excise taxes. Prices for some foods – milk, cheese, eggs, and fruit – are also well above the OECD average whereas prices for seafood, clothing, and meat are slightly below average.

For services, the price of construction in New Zealand is the highest in the OECD and more than double the average. This is undoubtedly a handbrake on housing and infrastructure development here.[3] In fact, the price of 'capital formation' – which covers machinery, equipment and construction – is 70% above average in New Zealand and also the highest in the OECD.[4] The price of housing services and utilities in New Zealand is also assessed as being the most expensive in the OECD.[5]

[1] Based on data from The Economist for 2025.

[2] These results are based on the relative prices for goods and services in New Zealand compared with the OECD average. OECD rankings use the OECD's 2024 price level indices. World Bank rankings use International Comparison Program data for individual consumption, with 2024 data referenced to a 2021 benchmark year.

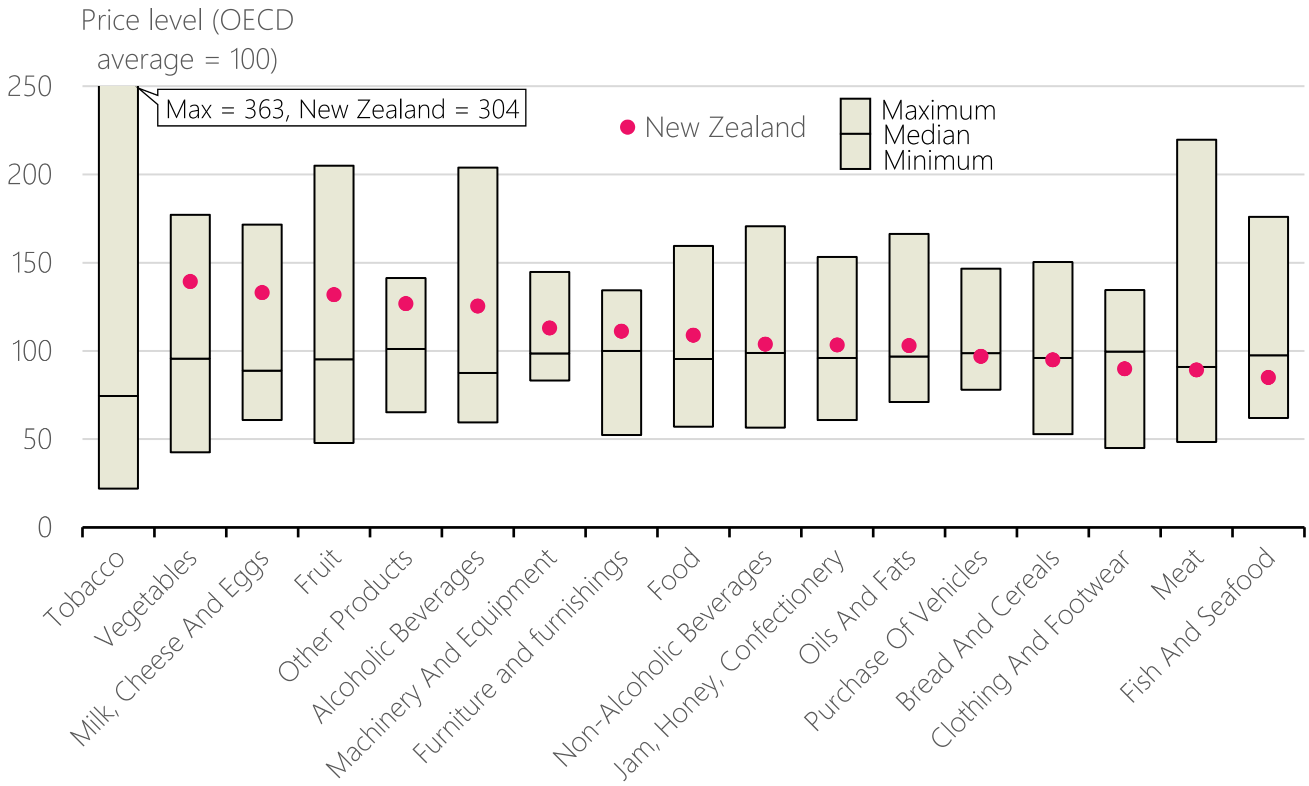
[3] The ICP measures construction input prices paid by contractors, including materials, equipment hire, and labour. Analysis by the Productivity Commission highlights persistently low productivity growth in New Zealand's construction sector because of low capital intensity and slow technological adoption. For example, see Case study: Construction industry and migration.

[4] Based on 'gross fixed capital formation' in the ICP database.

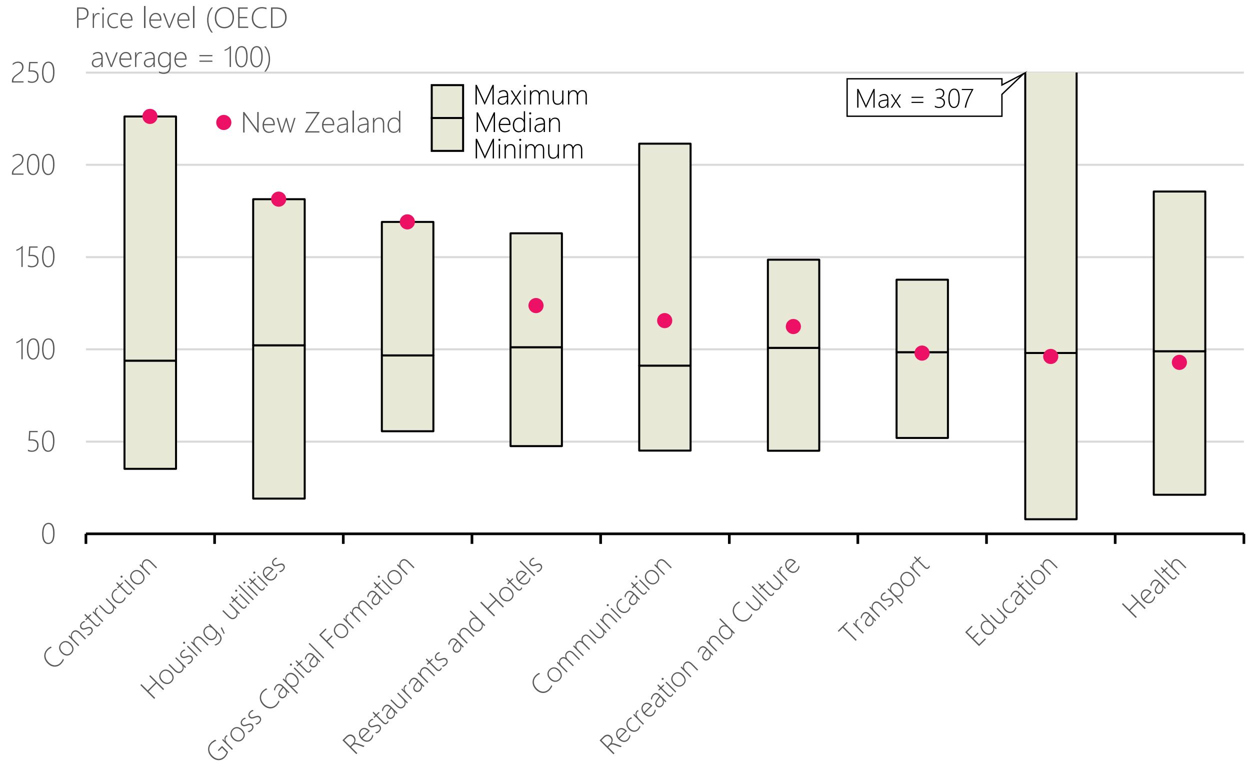
[5] In the ICP database, 'housing services' includes rent paid by tenants as well as imputed rents for owner-occupiers.

Figure 3 – Price levels across OECD countries

a. Goods



b. Services



Note: These charts show the relative price level of different goods and services across OECD countries. The boxes show the minimum, maximum and median across OECD countries. The simple average across OECD countries is 100. Construction is generally considered a 'goods-producing' sector but has been included in services for simplicity.

Source: World Bank International Comparison Program database.

Purchasing power

High prices in New Zealand would matter less if our incomes were also high.[6] So, to assess purchasing power, let's look at how Kiwi incomes tracked over the inflation surge and stack up internationally.

In doing this, I'm going to distinguish between wages and income. 'Wages' are obviously what people earn at work and matter most for household purchasing power. 'Income' includes wages plus other revenues, such as the return on savings and investments and business profits.[7]

Over the pandemic

Let's start with broader income. Did income growth in New Zealand offset the surge in inflation over the pandemic? The short answer is "yes, just, but it was bumpy".

Real national income per person fell sharply at the onset of the pandemic, then rebounded under very strong fiscal and monetary stimulus, and then dipped again as interest rates rose (Figure 4). Overall, income growth just kept pace with inflation, suggesting little change in purchasing power.

But real income growth has been much weaker than in the past. In the two decades before the pandemic, real income grew by around 2 percent per year, supported by an increasing share of the population in employment and favourable terms of trade. Since 2020, growth has averaged only about 0.6 percent a year. Clearly, recent years have been challenging on the income front.

Let's turn to wages, which make up the bulk of Kiwi household income.

Before the pandemic, wages for someone in the same job – excluding promotions and productivity gains – barely kept pace with inflation (Figure 5, LCI). Broader measures of real wages that capture the effects of job switching and promotions, and better reflect take-home pay, grew about 1% a year leading up to 2020 (Figure 5, QES).[8]

As inflation surged over the pandemic, real wage growth for workers who stayed in the same job fell sharply to a trough of more than -3%. The broader measure of wages that accounts for job changes also turned negative in 2022, but by less than the narrow same-job measure. For part of this period, closed borders and strong demand created acute labour shortages, driving a surge in job switching for better pay (Figure 6).

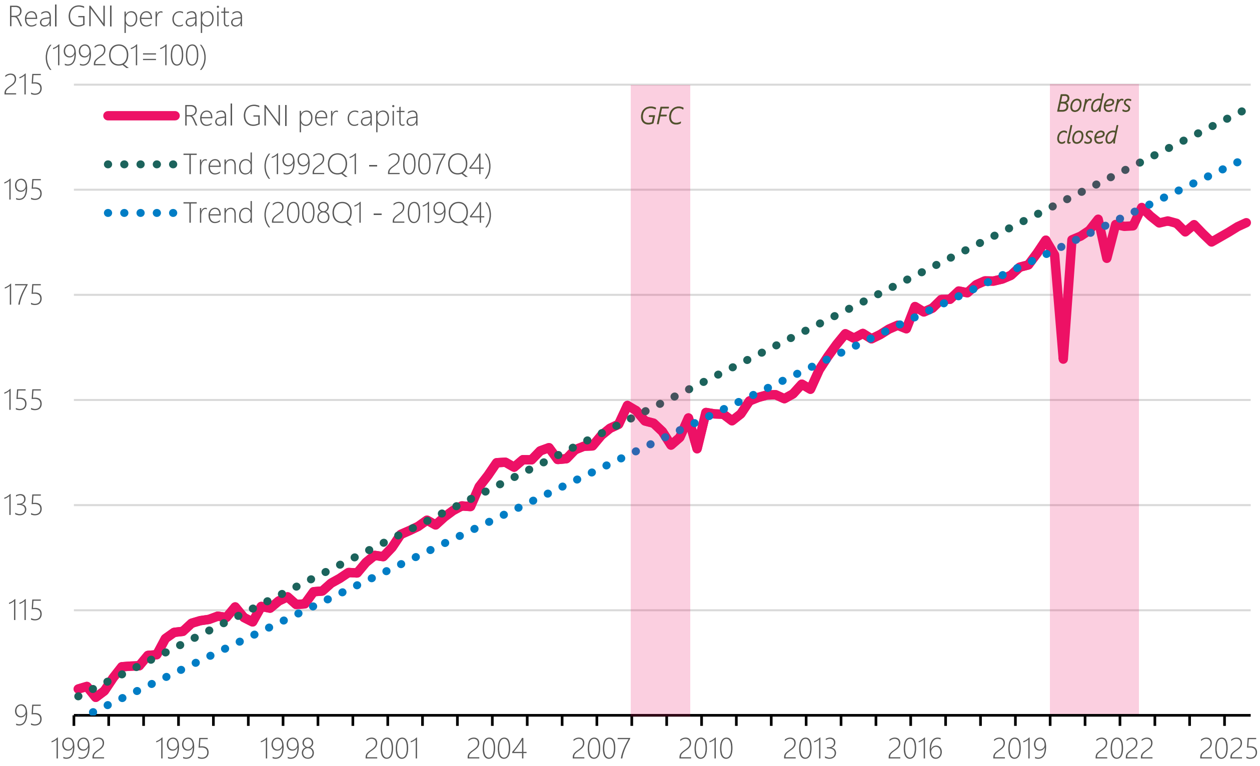
As I mentioned earlier, overall prices have increased by 26% since 2020. The broader measure of wages increased by 32%, leaving *real* wages roughly 6% above pre-COVID-19 levels.

[6] Prices tend to be higher in high-income countries because productivity is strongest in their tradable sectors, where international competition supports higher wages. Those wages spill over into local, non-tradable services with lower productivity, pushing up prices – a mechanism known as the Balassa-Samuelson effect.

[7] Income is measured as Gross National Income (GNI) per person. This captures all income earned by New Zealanders – wages, profits, and investment returns. Unlike GDP, GNI adjusts for international income flows and terms of trade effects.

[8] The Labour Cost Index (LCI) measures changes in wage rates for a fixed set of jobs, holding job quality, hours, and workforce composition constant. Quarterly Employment Survey (QES) average hourly earnings measure actual pay per hour across the workforce and are influenced by shifts in industries, occupations, hours worked, and worker turnover. The gap between LCI and QES wage growth is consistent with evidence that a significant share of recent wage growth in New Zealand reflects workers moving between jobs and firms rather than pay increases for workers in the same job. For example, see The Greying Job Ladder: The Role of Ageing for Reallocation and Growth (forthcoming).

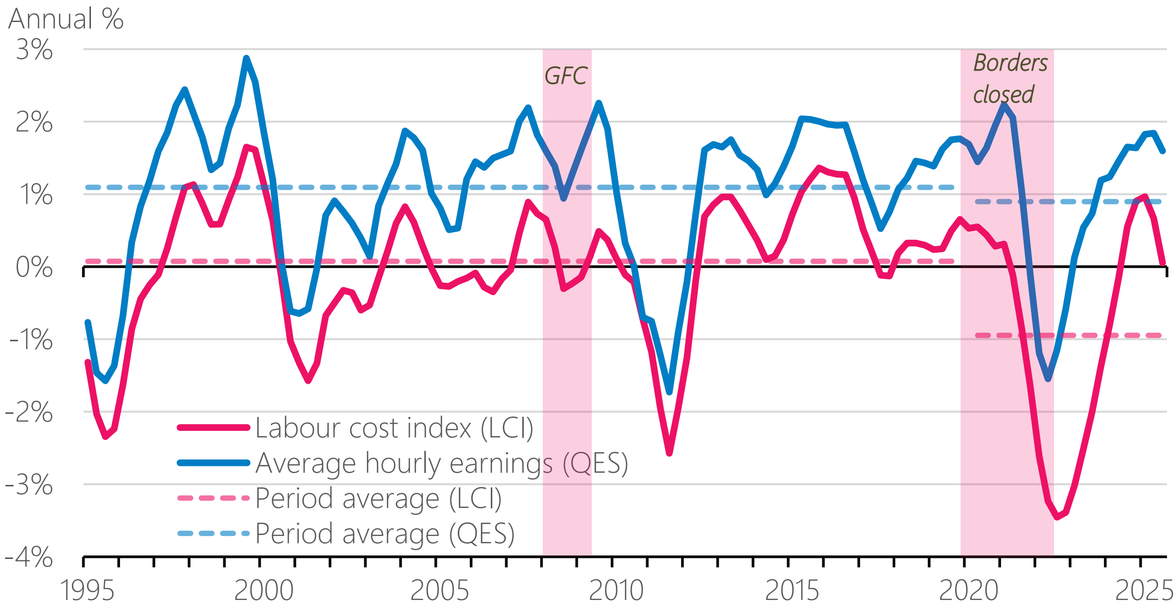
Figure 4 – Growth in real per-capita incomes



Note: This chart shows an index of real Gross National Income (GNI) per capita, seasonally adjusted, where 1992Q1 is 100. The green trend line is a linear trend from 1992Q1 to 2007Q4, and the blue trend line is a linear trend from 2008Q1 to 2019Q4. The shaded areas show the Global Financial Crisis (GFC) recession and New Zealand's border closure.

Source: Stats NZ

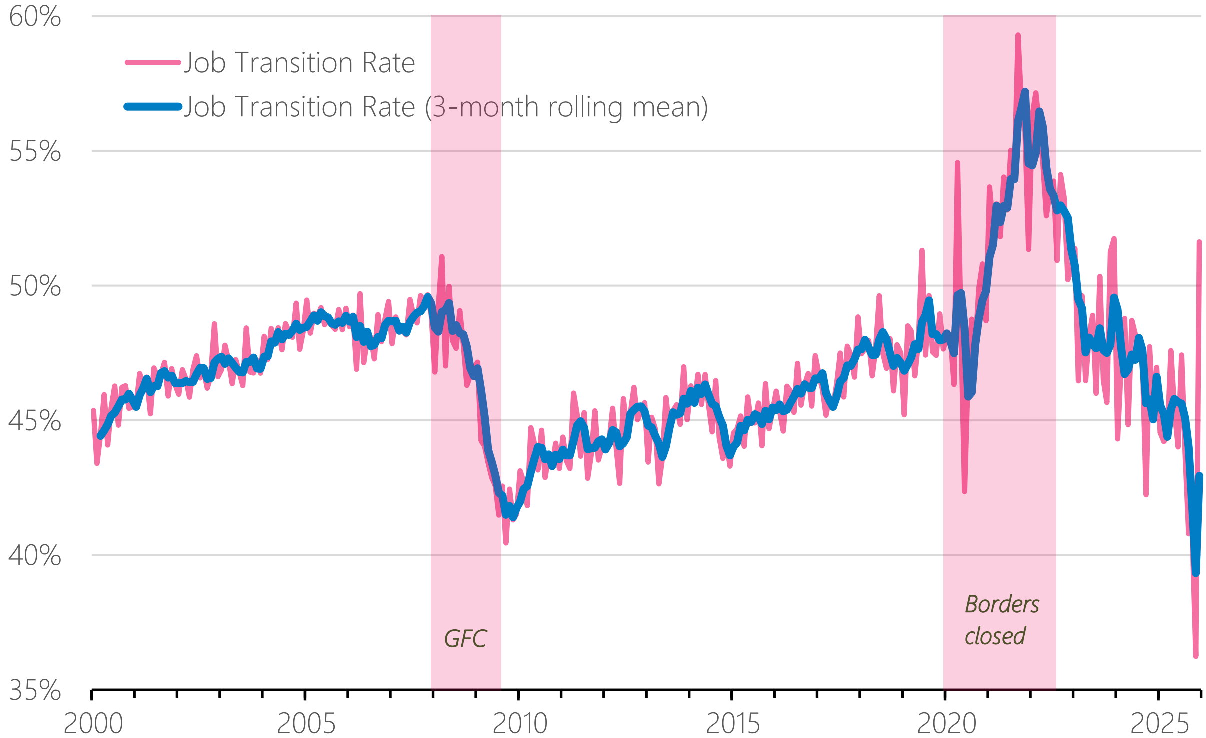
Figure 5 – Real wage growth



Note: This chart shows the four-quarter moving average year-on-year change in the labour cost index (all industries) and average hourly earnings from the quarterly employment survey, adjusted for CPI inflation. The dotted lines represent the decade average of real wage growth for each measure. The shaded areas show the Global Financial Crisis (GFC) recession and New Zealand's border closure.

Source: Haver Analytics, Stats NZ

Figure 6 – Churn in the NZ labour market over COVID



Note: Job transitions are the share of jobs created in a given period that are filled by people transitioning from one primary employer to a different primary employer, based on deidentified unit record tax data.[9] The last data point is December 2025 (but may be subject to revision due to lags in tax data).

Source: Stats NZ IDI, RBNZ estimates.

Compared to other countries

How does purchasing power in New Zealand – measured as real per capita incomes and wages – compare with other OECD counties?

Real per capita income in New Zealand is below the OECD average. It hovered around 80% of the average until the mid-2000s, then increased to over 95% by 2020, before falling back to 90% of the average over the pandemic (Figure 7).

As I mentioned earlier, strong real income growth in New Zealand up until 2020 was supported by an increasing share of the population in employment and favourable terms of trade. These tailwinds more than offset weak productivity growth, lifting real income growth above the OECD average.[10]

In some years before 2020, income growth in New Zealand was stronger than in Australia, narrowing the trans-Tasman income gap. In some emerging economies – such as Poland – income growth was faster still, consistent with strong 'catch-up' in productivity. This illustrates how

[9] These results are not official statistics. They have been created for research purposes from the Integrated Data Infrastructure is carefully managed by Stats NZ. For more information about the IDI please visit www.stats.govt.nz/integrated-data. The results are based in part on tax data supplied by Inland Revenue to Stats NZ under the Tax Administration Act 1994 for statistical purposes. Any discussion of data limitations or weaknesses is in the context of using the IDI for statistical purposes and is not related to the data's ability to support Inland Revenue's core operational requirements.

[10] Galt (2023) shows that, between the late 1990s and 2019 New Zealand's net national income growth was supported by terms of trade impacts (higher export prices and a changing import mix), more of the population being employment, and a reduction in our net international income deficit.

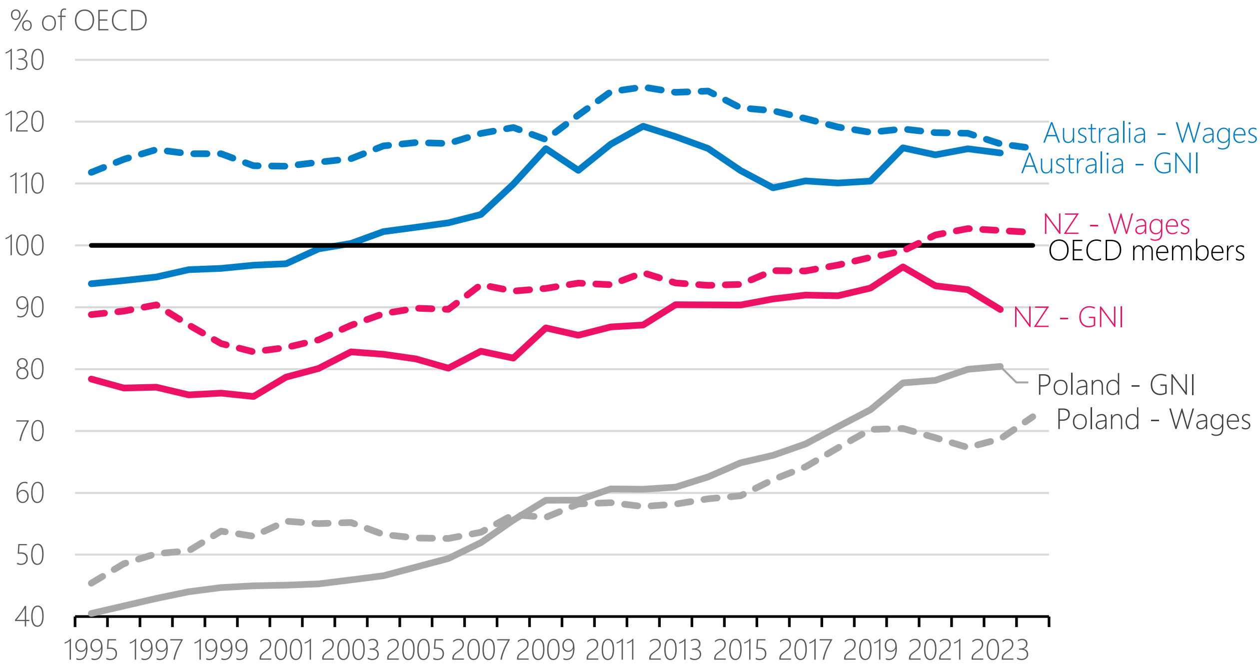
income convergence can occur relatively quickly when regulatory conditions and institutional settings are supportive of growth.

Since 2020, real income in New Zealand has fallen back to around 90% of the OECD average and the income gap *vis-à-vis* Australia has widened. Purchasing power, as measured by real income, has not kept pace with the rest of the OECD nor Australia since the beginning of the pandemic.

It's a different story with wages (Figure 7). Real wages nudged above the OECD average in the early years of the pandemic when fiscal and monetary policy settings were highly stimulatory. Since then, real wages have been broadly around the OECD average. Again, the fact real wages in New Zealand have not declined relative to the OECD average is consistent with acute labour shortages in the economy when the border was closed.

The fact remains, however, that purchasing power in New Zealand is, at best, average compared to the rest of the OECD. Importantly, this is compared to all 38 current OECD member countries, which includes several emerging economies. Compared to the 30 OECD member countries in 2010, average incomes in New Zealand sits around 20% below the average.

Figure 7 – Income and wages as a percentage of the OECD average



Note: This chart shows the real Gross National Income (GNI) per capita (PPP-converted) in the solid line and average annual wage (PPP-converted) in the dotted line relative to the OECD average.

Source: OECD, World Bank.

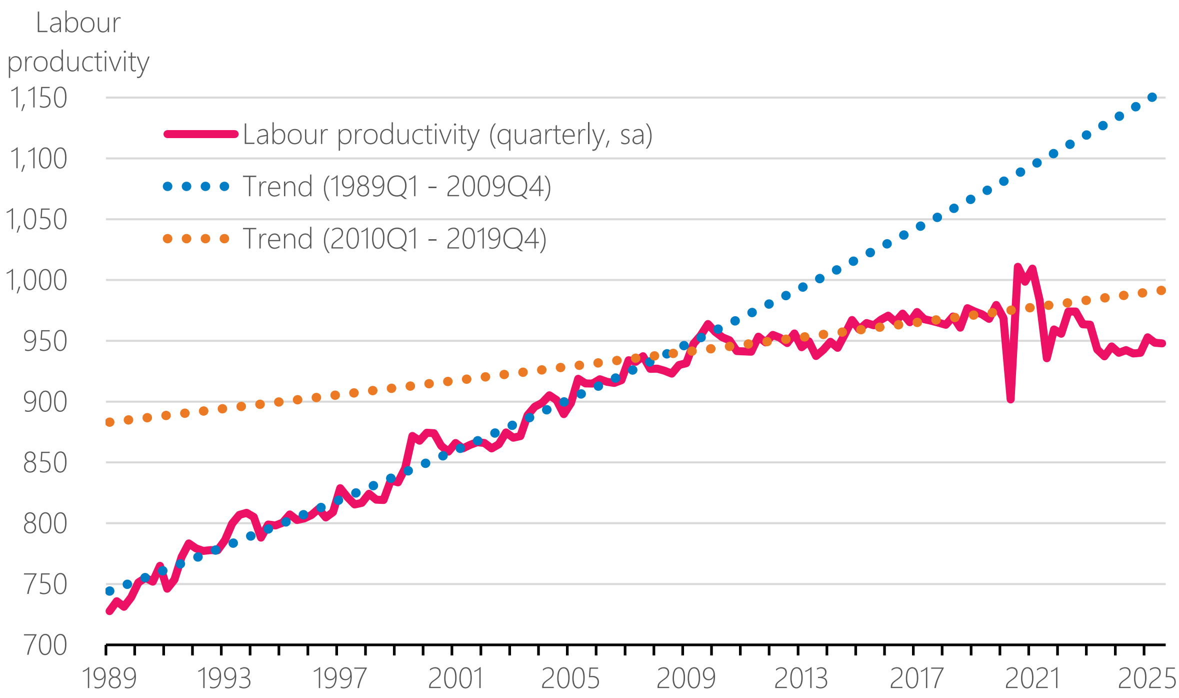
How to improve purchasing power

Improving purchasing power is all about lifting real income growth. Improving productivity lies at the heart of this challenge. Increasing the value created by workers per hour of work allows businesses to pay higher wages without increasing their prices. We clearly see this across countries in that real wages increase more quickly in countries with better productivity growth. And we see it in New Zealand in that workers in industries with stronger productivity growth get better pay rises.[11]

It is no exaggeration to say that productivity growth is the single most powerful determinant of higher real incomes, and therefore purchasing power, over the long run. Unfortunately, as I detailed in a speech last year, New Zealand's productivity performance leaves much to be desired and has lagged other OECD economies (Figure 8).[12] Further, productivity growth in the New Zealand economy fell significantly following the Global Financial Crisis and has been negative in the wake of the pandemic.

While increases in the terms of trade and in the share of the population in employment improved purchasing power before the pandemic, there are limits to this as a growth strategy. So, how do we improve purchasing power through better productivity and what is the role of monetary policy in that?

Figure 8 – Labour productivity in New Zealand (index)



Note: This chart shows labour productivity (GDP per paid hour worked, seasonally adjusted) based on paid hours worked from the Quarterly Employment Survey. The trend lines are exponential trends from 1989Q1 to 2009Q4 in blue, and 2010Q1 to 2019Q4 in orange.

Source: Stats NZ, RBNZ calculations.

The role of monetary policy in improving purchasing power

The most important contribution monetary policy can make to improving long-run growth and purchasing power is to deliver low and stable inflation.

[11] See New Zealand Productivity Commission (2021).
[12] See Beyond the cycle: Growth and interest rates in the long run.

New Zealanders have keenly felt the costs of high inflation in recent years. Inflation creates uncertainty – when prices are unstable, it becomes harder to distinguish genuine changes in demand and scarcity in markets from inflation noise. Businesses focus more on managing rising costs and less on investing and expanding. Households become more cautious.

Inflation surprises also redistribute wealth – savers lose wealth as the purchasing power of their savings falls while borrowers eventually gain as inflation reduces their real debt burden. Inflation can also interact with the tax system in ways that lead to resource misallocation.

While nominal incomes do adjust to an inflation surprise, the process can be slow and costly. It takes time for the economy to return to a new equilibrium of more stable and predictable price changes. This increases the risk of resources being poorly allocated in the economy, undermining productivity and income growth.

While low and stable inflation is a key ingredient in lifting productivity and improving purchasing power, it is insufficient on its own. By anchoring prices, monetary policy creates the conditions for growth. But sustained gains in purchasing power require structural improvements in the economy.

Structural policies are key

Structural policies shape the economy's long-run potential growth. They influence how competitive markets are, how easily resources shift from low- to high-productivity firms and sectors, and how quickly new technologies diffuse across businesses. These settings matter not just for long-run growth, but also for how resilient the economy is when shocks hit.

The unique features of New Zealand's economy – small scale, low population density, and extreme geographic isolation – mean that getting structural policy settings right is both challenging and critically important. Our persistent productivity underperformance suggests scope to improve structural policies. Reasons for that underperformance include limited international engagement by Kiwi firms, persistent gaps in innovation and skills, weak investment that constrains capital deepening, and a slow diffusion of productivity-enhancing technologies across the economy.

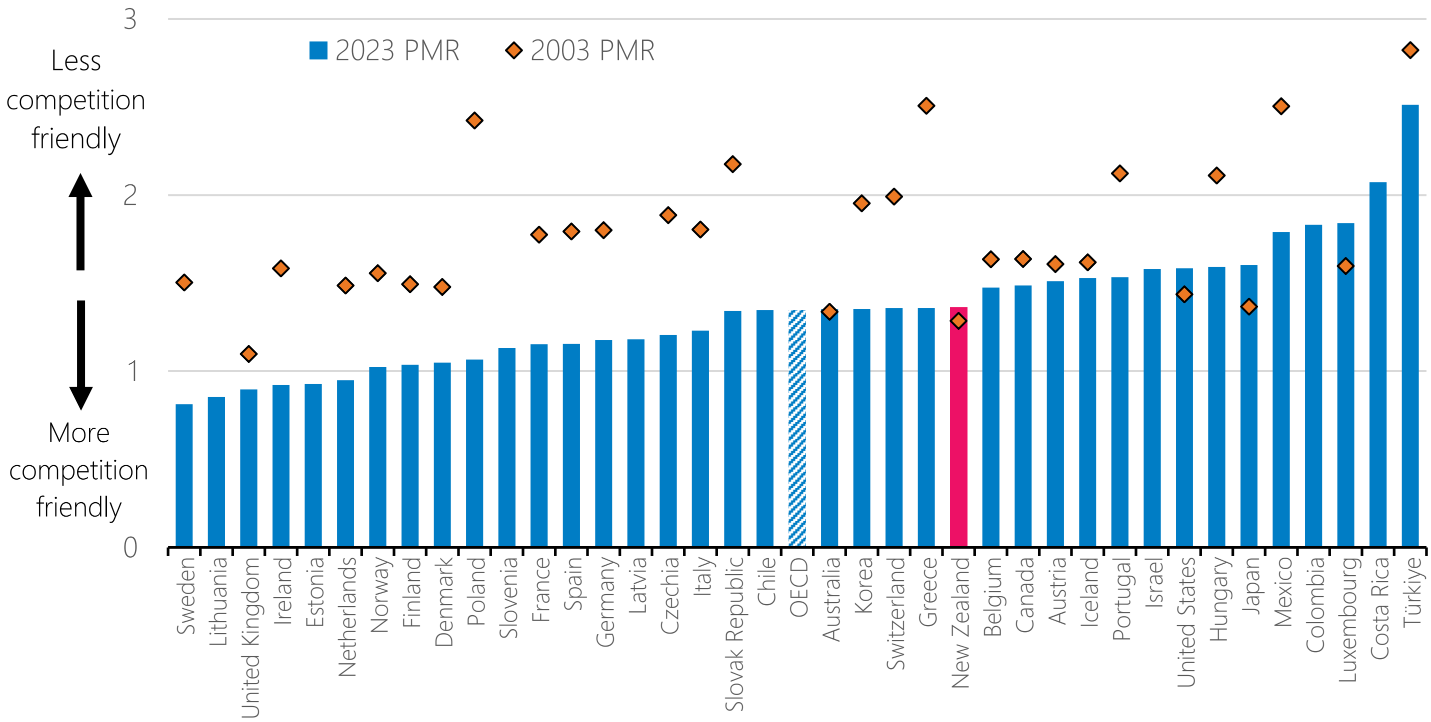
Cross-country evidence also points to scope to improve New Zealand's structural policy settings. The OECD's indicators of Product Market Regulation show that New Zealand was a global leader in pro-competition regulation in the early 2000s. Since then, regulatory reform has been much weaker than in most other countries, and our regulatory settings are now rated below the OECD average (Figure 10). This pattern suggests more of a "one and done" approach to regulation here, in contrast to continuous regulatory upgrading elsewhere.

A more fragmented and unpredictable global economy raises the stakes for ensuring that New Zealand's structural policy settings are resilient, adaptive, and fit for purpose. We are in a new era of heightened geopolitical risk and persistent uncertainty, with the conflict in the Middle East a timely reminder of how quickly geopolitics can disrupt the global economy. At the same time, cross-country flows of trade, capital, and people are shifting, governments are becoming more interventionist, and the rules-based order that once underpinned global integration has weakened considerably.

This is not a temporary shock that we can simply wait out. It's a durable shift that makes the global economy more difficult and dangerous for small economies like New Zealand. We are more exposed to external shocks, fragile global supply chains, and shifts in global rules and norms over which we have little control.

Sustaining living standards in this environment increasingly depends on structural policy settings that build resilience into the structure of the economy by encouraging flexibility, investment, and adaptation. A more resilient and flexible economy would mean monetary policy does not have to work as hard, or be as aggressive, to stabilise inflation as shocks wash through the economy.

Figure 10 – Economy-wide pro-competition regulatory settings



Note: This chart shows the most recent values of the OECD's product market regulation indicator score on a scale from 0 (most competition-friendly regulatory set-up) to 6 (least competition-friendly regulatory set-up).

Source: OECD

Concluding remarks

New Zealand has weathered significant economic turbulence in recent years that has stoked concerns around the cost of living. The scale and intensity of the inflation surge following COVID-19, coming after decades of stable prices, has proven very challenging. That surge in inflation permanently lifted the price level. Conflict in the Middle East has added fresh disruption - lifting global energy and shipping costs in the first instance and adding to economic uncertainty for Kiwis.

Ultimately, purchasing power and the cost of living depend on what people can buy with their incomes, after accounting for prices. Prices overall in New Zealand are relatively high and prices for some goods and services are the highest in the OECD. The purchasing power of incomes and wages in New Zealand is, at best, average compared to the rest of the OECD and below average compared to the 30 higher-income OECD member countries we typically compare ourselves with.

The role of monetary policy in improving purchasing power is to deliver low and stable inflation, which can be challenging in a world of more frequent shocks and greater volatility. The conflict in the Middle East is the latest example. However, as the Governor highlighted in her speech yesterday, we are well placed to respond. The research and experience we have gained through COVID-19 and the imposition of tariffs by the United States in 2025 have strengthened our ability to assess, understand, and respond to supply shocks, and these lessons remain front of mind.

While monetary policy plays a critical role in responding to shocks, it cannot solve New Zealand's 'cost-of-living crisis'. Low and stable inflation underpins economic stability and is critical for sustained gains in purchasing power. But monetary policy does not create prosperity directly. It creates the conditions in which prosperity can endure.

Improving the purchasing power of New Zealand households requires improved productivity. Productivity gains support stronger real wage growth, while competitive markets help keep price increases in check. For example, higher productivity in the construction sector would mean more affordable housing, lower infrastructure costs, and reduced pressure on council rates.

As I argued in a speech last year, stronger productivity raises the economy's speed limit – allowing faster growth without inflation. A more resilient and flexible economy also means monetary policy doesn't need to be as aggressive to keep inflation stable when shocks hit.

New Zealand was once at the frontier of structural reform. That edge has faded over recent decades. While our structural policies differ in some ways from those in many advanced economies, those differences have not produced better outcomes. In a world of rapid technological change and rising global uncertainty, structural policies cannot be "set and forget". To sustain living standards, policy must continuously evolve to improve competition, innovation, investment, and global engagement. That is the structural foundation for lowering the cost of living in New Zealand.